

Started on Sunday, 11 January 2026, 4:25 PM**State** Finished**Completed on** Sunday, 11 January 2026, 4:37 PM**Time taken** 11 mins 7 secs**Marks** 40.00/40.00**Grade** 100.00 out of 100.00

Question 1

Correct

Mark 1.00 out of 1.00

Which factor is NOT typically considered by households when allocating their savings among different assets?

- ☐ a. Expected return
- ☐ b. Liquidity
- ☐ c. Personal preferences
- ☒ d. Company's market share ✓

Question 2

Correct

Mark 1.00 out of 1.00

What is the role of indexing in managing inflation?

- ☐ a. It decreases inflation
- ☐ b. It delays inflation effects
- ☒ c. It adjusts wages and payments based on inflation ✓
- ☐ d. It replaces price controls

Question 3

Correct

Mark 1.00 out of 1.00

How do regulatory policies influence economic efficiency?

- ☐ a. By restricting competition
- ☐ b. By reducing consumer choices
- ☒ c. By promoting innovation and fair resource allocation ✓
- ☐ d. By increasing monopolistic power

Question 4

Correct

Mark 1.00 out of 1.00

Which of the following best describes a Pigouvian tax?

- ☒ a. A tax designed to correct market failures by accounting for external costs ✓
- ☐ b. A tax that replaces government subsidies in competitive markets
- ☐ c. A tax imposed only on monopolies to prevent price exploitation
- ☐ d. A tax on goods that generate positive externalities to encourage production

Question 5

Correct

Mark 1.00 out of 1.00

What is the main difference between tariffs and quotas as trade barriers?

- ☒ a. Quotas restrict the quantity of imports, while tariffs increase the price of imports through taxation ✓
- ☐ b. Tariffs only apply to manufactured goods, while quotas apply to all products
- ☐ c. Both tariffs and quotas increase imports by making them more attractive
- ☐ d. Tariffs directly limit the quantity of imported goods, while quotas impose a tax on imports

Question 6

Correct

Mark 1.00 out of 1.00

How is the poverty rate calculated?

- ☐ a. Number of unemployed people
- ☒ b. Number of people below the poverty line as a percentage of the population ✓
- ☐ c. Total taxes divided by income
- ☐ d. Number of people receiving welfare

Question 7

Correct

Mark 1.00 out of 1.00

Labor market discrimination affects:

- ☐ a. Only hiring decisions
- ☐ b. Only wage setting
- ☒ c. Both hiring and wages ✓
- ☐ d. Only large corporations

Question 8

Correct

Mark 1.00 out of 1.00

Which policy instrument holds producers accountable for the entire lifecycle of their products, encouraging sustainable design and waste reduction?

- ☐ a. Carbon Trading
- ☒ b. Extended Producer Responsibility (EPR) ✓
- ☐ c. Environmental Impact Assessments
- ☐ d. Green Public Procurement

Question 9

Correct

Mark 1.00 out of 1.00

Why does the social rate of return often exceed the private rate of return?

- ☒ a. Because external benefits, such as knowledge spillovers, are not fully captured by private investors ✓
- ☐ b. Because businesses are legally required to maximize social welfare
- ☐ c. Because the social rate of return is calculated using different interest rates
- ☐ d. Because governments subsidize private investments

Question 10

Correct

Mark 1.00 out of 1.00

In a highly globalized world, which group of people tends to benefit the least from trade?

- ☒ a. Unskilled or low-skilled labor in industries that face competition from cheap imports ✓
- ☐ b. Corporations that have access to new international markets
- ☐ c. Entrepreneurs in innovative sectors
- ☐ d. Skilled labor in industries that export high-value goods

Question 11

Correct

Mark 1.00 out of 1.00

What is a key advantage of debt financing for businesses?

- ☐ a. No obligation to repay the borrowed funds
- ☒ b. Interest payments are tax-deductible ✓
- ☐ c. Dilution of ownership
- ☐ d. Lower financial risk

Question 12

Correct

Mark 1.00 out of 1.00

A public-private partnership (PPP) involves:

- ☐ a. Full government ownership
- ☐ b. Complete privatization
- ☒ c. Collaboration between state and private firms ✓
- ☐ d. Elimination of public services

Question 13

Correct

Mark 1.00 out of 1.00

How have competition laws evolved in response to digital platforms?

- ☐ a. By ignoring digital market trends
- ☐ b. By applying outdated industrial policies
- ☒ c. By introducing new digital-focused competition rules ✓
- ☐ d. By banning all online services

Question 14

Correct

Mark 1.00 out of 1.00

What is a key objective of contractionary fiscal policy?

- ☐ a. To fight deflation
- ☒ b. To reduce inflation ✓
- ☐ c. To increase employment
- ☐ d. To decrease exports

Question 15

Correct

Mark 1.00 out of 1.00

When minimum wage is set above the equilibrium wage:

- ☐ a. Employment increases
- ☐ b. Employment remains constant
- ☒ c. Unemployment may result ✓
- ☐ d. Labor supply decreases

Question 16

Correct

Mark 1.00 out of 1.00

What is the primary effect of a country's currency depreciation on its exports?

- ☐ a. Makes exports more expensive
- ☐ b. Reduces export volume
- ☒ c. Makes exports cheaper and more competitive ✓
- ☐ d. Has no effect on exports

Question 17

Correct

Mark 1.00 out of 1.00

How does globalization impact technological diffusion in developing countries?

- ☒ a. It fosters innovation through foreign investments and knowledge-sharing ✓
- ☐ b. It limits technological advancements to developed economies only
- ☐ c. It encourages local innovation while restricting foreign technology inflows
- ☐ d. It makes developing nations dependent on outdated technologies

Question 18

Correct

Mark 1.00 out of 1.00

The Clayton Act was introduced to:

- ☐ a. Encourage joint ventures
- ☐ b. Allow monopolistic mergers
- ☒ c. Address specific unfair business practices ✓
- ☐ d. Abolish trade tariffs

Question 19

Correct

Mark 1.00 out of 1.00

Which term describes built-in economic policies that automatically adjust to economic conditions?

- ☐ a. Discretionary tools
- ☐ b. Monetary stabilizers
- ☒ c. Automatic stabilizers ✓
- ☐ d. Fiscal reserves

Question 20

Correct

Mark 1.00 out of 1.00

What does the Lorenz curve measure?

- ☐ a. The rate of inflation
- ☒ b. The cumulative income distribution ✓
- ☐ c. Economic growth
- ☐ d. Wage productivity

Question 21

Correct

Mark 1.00 out of 1.00

The U.S. imposes economic sanctions on countries like Iran and North Korea. What is one intended effect of these trade restrictions?

- ☒ a. To pressure governments to change political or economic policies ✓
- ☐ b. To increase foreign investment in these countries
- ☐ c. To boost economic growth in the targeted countries
- ☐ d. To strengthen trade relations between the U.S. and these nations

Question 22

Correct

Mark 1.00 out of 1.00

What is globalization?

- ☐ a. A trend towards more localized economies
- ☒ b. The expanding cultural, political, and economic connections between people worldwide ✓
- ☐ c. A shift from government-controlled to market-driven economies
- ☐ d. The reduction of international trade and financial flows

Question 23

Correct

Mark 1.00 out of 1.00

Which of the following best describes the principle of comparative advantage?

- ☒ a. A country should focus on producing goods that it can produce at a lower opportunity cost than other nations ✓
- ☐ b. A nation should aim to produce all goods domestically to avoid reliance on international trade
- ☐ c. Countries should only trade with partners that have similar production capabilities
- ☐ d. A country should specialize in producing goods where it has the highest absolute efficiency

Question 24

Correct

Mark 1.00 out of 1.00

What is a possible downside of excessive government intervention in markets?

- ☒ a. It may lead to inefficiencies and unintended market distortions ✓
- ☐ b. It prevents negative externalities from ever occurring
- ☐ c. It always leads to the failure of private businesses
- ☐ d. It guarantees the efficient allocation of resources

Question 25

Correct

Mark 1.00 out of 1.00

What happens to the money supply when banks lend out a portion of their deposits?

- ☐ a. It decreases
- ☐ b. It remains unchanged
- ☒ c. It increases ✓
- ☐ d. It becomes unstable

Question 26

Correct

Mark 1.00 out of 1.00

What is the primary objective of the Montreal Protocol?

- ☐ a. To reduce carbon dioxide emissions
- ☒ b. To phase out substances that deplete the ozone layer ✓
- ☐ c. To control transboundary movement of hazardous wastes
- ☐ d. To promote sustainable forest management

Question 27

Correct

Mark 1.00 out of 1.00

Which international agreement focuses on reducing greenhouse gas emissions globally?

- ☒ a. Kyoto Protocol ✓
- ☐ b. Montreal Protocol
- ☐ c. Basel Convention
- ☐ d. Stockholm Convention

Question 28

Correct

Mark 1.00 out of 1.00

Which of the following is a characteristic of a market economy?

- ☐ a. The government decides what to produce and at what price
- ☒ b. Markets determine the allocation of resources with minimal government intervention ✓
- ☐ c. All production decisions are based on tradition
- ☐ d. There are no private property rights

Question 29

Correct

Mark 1.00 out of 1.00

A company that reinvests its profits into the business rather than distributing them to shareholders is utilizing:

- ☐ a. Debt financing
- ☐ b. Equity financing
- ☒ c. Retained earnings ✓
- ☐ d. Asset liquidation

Question 30

Correct

Mark 1.00 out of 1.00

The marginal revenue product of labor is equal to:

- ☐ a. Wage multiplied by hours worked
- ☒ b. Marginal product of labor $\times$ price of output ✓
- ☐ c. Total revenue divided by number of workers
- ☐ d. Profit divided by output

Question 31

Correct

Mark 1.00 out of 1.00

Which sustainability model emphasizes minimizing waste and maximizing resource efficiency by promoting reuse, recycling, and regeneration?

- ☐ a. Linear Economy
- ☒ b. Circular Economy ✓
- ☐ c. Green Economy
- ☐ d. Sharing Economy

Question 32

Correct

Mark 1.00 out of 1.00

Tax cuts are usually associated with which type of fiscal policy?

- ☐ a. Contractionary
- ☐ b. Protectionist
- ☒ c. Expansionary ✓
- ☐ d. Neutral

Question 33

Correct

Mark 1.00 out of 1.00

Which public good among the following generates a positive externality?

- ☒ a. A clean public park ✓
- ☐ b. A private school
- ☐ c. A toll bridge
- ☐ d. A national defense system

Question 34

Correct

Mark 1.00 out of 1.00

Which of the following best describes the interdependence of the public and private sectors?

- ☐ a. They operate independently of each other
- ☐ b. One always dominates the other
- ☒ c. They support and rely on each other ✓
- ☐ d. They compete to control markets

Question 35

Correct

Mark 1.00 out of 1.00

1Why might governments implement subsidies for renewable energy?

- ☐ a. To decrease competition in the energy market
- ☒ b. To encourage the development and adoption of clean energy technologies ✓
- ☐ c. To increase dependence on fossil fuels
- ☐ d. To reduce government spending on energy initiatives

Question 36

Correct

Mark 1.00 out of 1.00

In which system are prices determined solely by supply and demand?

- ☐ a. Command
- ☐ b. Traditional
- ☒ c. Market ✓
- ☐ d. Mixed

Question 37

Correct

Mark 1.00 out of 1.00

Why is transparency important in enforcing competition laws?

- ☐ a. It reduces consumer trust
- ☐ b. It prevents government spending
- ☒ c. It ensures fair process and public accountability ✓
- ☐ d. It supports trade unions

Question 38

Correct

Mark 1.00 out of 1.00

What challenge do global regulators face in enforcing competition laws?

- ☐ a. High compliance costs
- ☐ b. Weak demand
- ☒ c. Cross-border practices and legal variations ✓
- ☐ d. High taxation rates

Question 39

Correct

Mark 1.00 out of 1.00

What is the main goal of central bank monetary policy?

- ☐ a. Raise taxes
- ☐ b. Control government budgets
- ☒ c. Stabilize prices and the economy ✓
- ☐ d. Increase government debt

Question 40

Correct

Mark 1.00 out of 1.00

Why do negative externalities lead to overproduction in a free market?

- ☒ a. Producers and consumers do not consider the full social cost of their actions ✓
- ☐ b. The government sets artificially low prices for goods with negative externalities
- ☐ c. Negative externalities always result in higher demand for the good
- ☐ d. They increase private costs, discouraging production